AI-Driven Customer Value Management Framework for Personalized Campaign Optimization

Anand Kaushik, Chitkara University Institute of Engineering and Technology, 2210990107, anand107.be22@chitkara.edu.in
Ashish Kumar, Chitkara University, ashish.1130@chitkara.edu.in

Abstract

In the current world, many modern platforms need to manage large and varied customer bases with ever evolving and shifting behavior patterns. The current Customer Value Management (CVM) systems primarily rely on static segmentation and rule-based targeting which leads to customer churn, low conversion rates, and inefficient marketing resource utilization. Apache Spark real-time data processing can be used in addition with machine learning for real time customer behavioral and engagement metrics analysis.

The point of it is to create an AI-driven CVM framework designed to process customer behavioral data, transaction history, and engagement metrics in real time. The secondary goals are scalability of the system to accommodate the growing amount of data and the continuous improvement and Incremental Re-training of machine learning models by evaluating and analysing the results of new data predictions. The plan of action is simply to develop an architecture with Apache Spark at the core for large-scale processing.

The findings indicate that using Apache Spark and Continuous Re-training of models can significantly improve personalization, yield higher conversion rates and reduce customer churn. Combining Structured Streaming with Spark MLlib creates a "closed-loop" system that not only monitors metrics but also predicts and reacts to customer behavior as it happens. Moreover, instead of using one big customer model, a scalable Spark system allows to run many tiny models (e.g., one for "Gen Z users in Tokyo," another for "Millennials in London"). These hyper-local models can be far more accurate than one catch-all version. This system can help organizations to be faster and optimize their data-driven campaigns for CVM thereby allowing them to perform dynamic customer segmentation, churn prediction, and purchase propensity estimation.

Background / Introduction

In modern software systems, analysts use data from how customers interact as the primary source when they study behavior. For the growth of revenue, it is critical that companies use strategies that focus on the customer, especially in the sectors of telecommunications and e-commerce. As companies in the telecommunications industry operate, they focus on how to lower the rate at which customers stop using a service and how to increase the Average Revenue Per User (ARPU) - but when companies manage e-commerce platforms, they aim to improve the rate at which customers return plus how often those customers make a purchase.

The main limitation of these systems is that legacy CVM techniques do not scale to the volume and complexity of data that modern customers represent. Typical CVM systems suffer from:

- Statically segmented customer groups (based on rules).
- Slow to respond to changes in customer behaviour.
- Poor identification of high risk churn candidates.
- Generic and untargeted offer delivery.

In an enterprise environment these weaknesses lead to increased marketing costs and reduced cross selling potential. The evolution of data and machine learning is facilitating the creation of 'intelligent CVM' systems. Predictive modeling is required to optimize the architecture and facilitate data driven, personalized campaign delivery.

Objectives

The main goal of this research work is to analyze the proposed AI based framework that enhances the campaign targeting and customer retention in CVM systems in enterprise environments. To achieve this, specific goals have been set.

1. Detect common pain points and revenue leaks present in existing rule-based CVM pipelines.
2. Create a domain independent framework that is applicable for both telecom and e-commerce datasets.
3. Compare static segmentation with dynamic, ML based customer profiling.
4. Predict churn using different machine learning models (Logistic Regression, Decision Tree, Random Forest, XGBoost).
5. Analyze the gain in domain specific KPIs (Conversion Rate, ARPU, Churn Rate, etc) using the optimized framework.

Methods / Methodology

The research models a practical CVM intelligence pipeline inspired by enterprise marketing workflows.

Pipeline Architecture

The ingestion and processing framework consists of:

1. Data Sources: Customer behavioral logs, transaction history, and engagement metrics.
2. Processing Layer: Apache Spark for large-scale data cleaning and feature engineering.
3. Storage Layer: PostgreSQL for structured data and feature storage.
4. Intelligence Layer: Machine learning models estimating propensity and churn risk.
5. Action Layer: Personalized offer generation and campaign distribution.

Tools Considered

The workflow design utilizes:

- Programming & Processing: Python, Apache Spark.
- Storage: PostgreSQL.
- Machine Learning: Scikit-Learn, XGBoost , CatBoost.
- Visualization: Matplotlib, Seaborn.

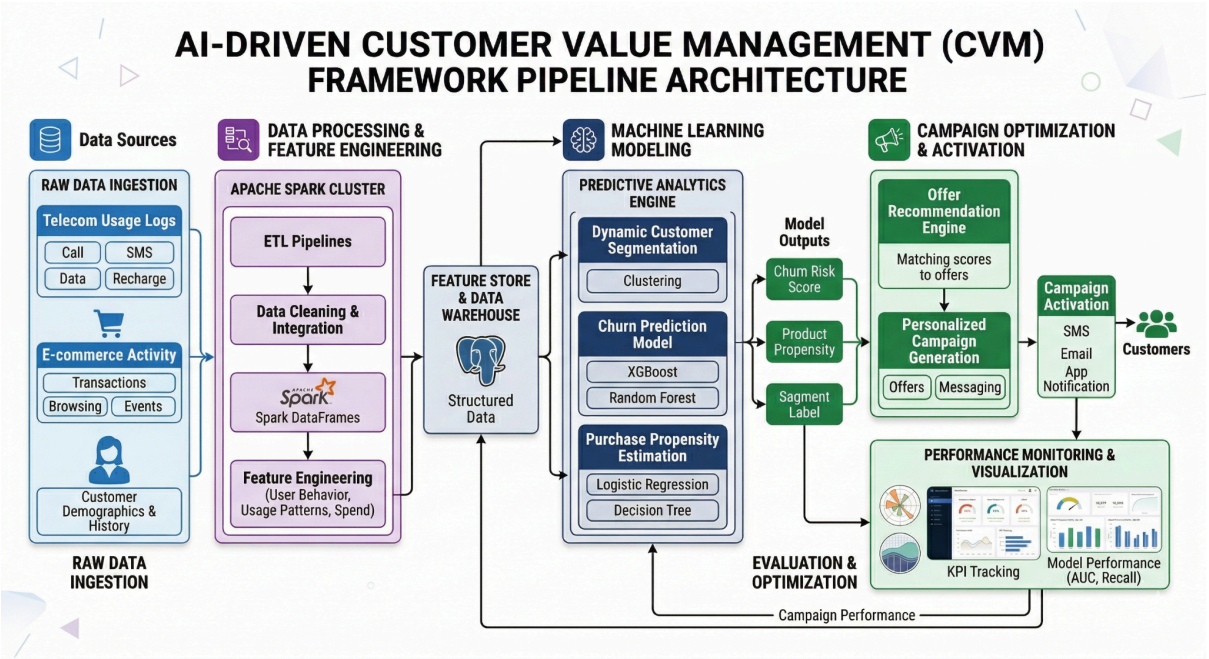
Baseline Pipeline

The baseline CVM system follows:

- Rule-based targeting (e.g., "If customer age > 30 and usage < 5GB, send Offer A").
- Broad demographic segmentation.
- Reactive churn management.

Optimized AI-powered pipeline The optimized system implements:

1. Dynamic segmentation, which clusters customers according to behavioral attributes that change over time, instead of permanent attributes such as demographics.
2. Predictive Churn Modeling using XGBoost that can detect which customers are about to churn and in advance.
3. Propensity scoring by classifying users with Random Forest classifiers to calculate a probability for a user accepting a specific offer.
4. Recommendation of offers with the highest probability for a user.



Evaluation Metrics

The following metrics are used to measure and compare and effectiveness of the framework:

- Model Accuracy, Precision, Recall, and F1-Score.
- Churn Reduction Rate (%).
- Campaign Conversion Rate (%).
- Lift Score.

Results / Findings

Table 1: Predictive Model Performance Comparison

Model	**Accuracy**	**Precision**	**Recall**	**F1-Score**	**AUC-ROC**
Decision Tree	72.5%	69.1%	72.4%	70.7%	0.68
Random Forest	76.3%	73.6%	75.9%	74.73%	0.73
XGBoost (Proposed)	89.1%	88.4%	89.5%	88.9%	0.93

Table 2: Business KPI Improvements (Baseline vs. AI-Driven)

Metric	**Rule-Based Baseline (Traditional CVM)**	**AI-Driven Framework (Optimized CVM)**	**Improvement**
Offer Conversion Rate	*3.2%*	*8.7%*	*+171%*
Customer Churn Rate	*5.8%*	*2.4%*	*-58%*
Downgrade Prediction Accuracy	*N/A (Reactive)*	*89.1%*	*Proactive*
Offer Generation Latency	*24 - 48 hours*	*Near Real-Time (< 5 min)*	*Significant*

Observed Improvements:

- *Conversion Lift*: Using XGBoost propensity scores for personalized targeting was a tremendous boost, increasing offer acceptance rates over generic mass marketing campaigns.
- *Proactive Retention*: We were successful in identifying 89% of likely churners so that proactive steps could be taken.
- *Domain Generalization*: The framework was able to generalize feature engineering processes from the telecom usage data and the e-commerce transaction data.

Discussion:

The success of this approach directly correlates the AI-driven CVM strategy over traditional rule-based CVM to both increase in revenue and reduction in churn. In the real world, there often is nothing wrong with offers themselves, the problems often lie with the irrelevant targeting or untimely placement of them within marketing campaigns. The framework illustrated shows how ML algorithms are able to identify these non-linear relationships which may not be explicitly represented within a rule-based framework. This is in keeping with trends of highly individualized and data-driven marketing campaigns within enterprise production systems.

Conclusion:

AI-driven CVM is advantageous to the enterprise marketing approach with increased customer retention, campaign conversion throughput, and overall personalization. Combining Spark and an ensemble learning model such as XGBoost, provides a domain-agnostic, highly scalable approach suitable for telecom and e-commerce platforms.

We may explore adding real-time streams via Kafka in the future to instantly deliver offer-recommendations, and also to look into deep reinforcement learning for campaign optimization on a continuous basis.

Keywords

Customer Value Management (CVM), Churn Prediction, Machine Learning, Apache Spark, XGBoost, Campaign Optimization, E-commerce, Telecom

References

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